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**Reddit revenue soars as
it bets on AI and
advertising**

Reddit reported its second-quarter earnings on Thursday, and it's clear that the company's focus on AI has ramped up considerably.

One significant area of investment is growing its advertising business, supported by its AI-powered marketing tools. The results revealed that the majority of Reddit's revenue continues to come from ads, which brought in \$465 million, representing 93% of the company's total revenue.

Last month, Reddit launched two new features for advertisers: Reddit Insights, a tool that leverages the billions of posts and comments on the platform to spot trends and offer real-time insights for campaign strategies, and Conversation Summary Add-ons, which let advertisers include Reddit user discussions directly in ads, showing public opinions about products or brands.

The company also saw growth in its "other revenue" category, which includes its data licensing business — meaning its deals with AI providers for access to its data. Reddit said the category jumped 24% year-over-year to \$35 million, up from \$28.1 million in the same period a year prior.

Reddit has already established content licensing agreements with major players in AI, including Google and OpenAI. Although these deals are still new, the results from the second quarter point out a

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steady income stream that has significant potential for the long haul.

Another key AI-powered feature is the Reddit Answers tool, which launched in December. This tool, which offers answers in a conversational interface, has attracted 6 million weekly users, a considerable jump from [1 million](#) users in the previous quarter.

In a [letter to shareholders](#), Reddit CEO Steve Huffman said the platform is working to integrate the tool “more deeply into the core search experience” to make “search a central feature across Reddit.”

Topics: [AI](#) [Reddit](#) [Social](#)



Lauren Forristal



Lauren covers media, streaming, apps and platforms at TechCrunch.

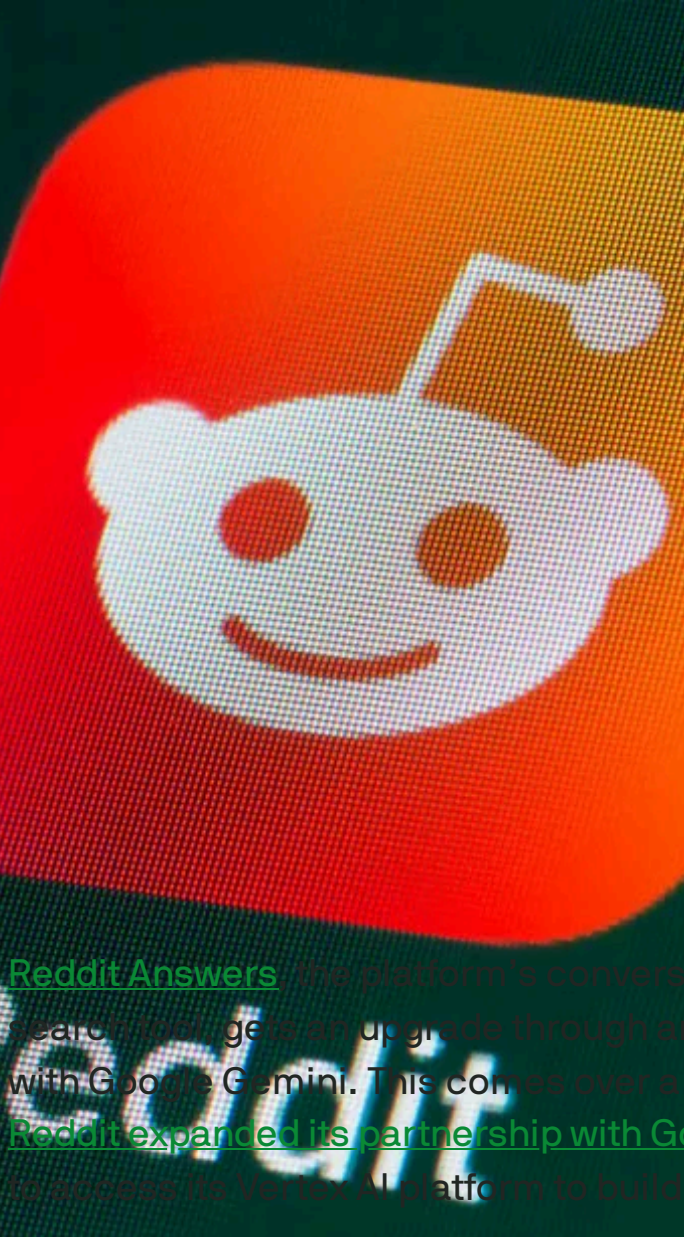
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Reddit's conversational AI search tool leverages Google Gemini

Lauren Forristal — 5:00 AM PDT · April 9, 2025

[Reddit Answers](#), the platform's conversational AI search tool, gets an upgrade through an integration with Google Gemini. This comes over a year after [Reddit expanded its partnership with Google Cloud](#) to access its Vertex AI platform to build AI agents.

IMAGE CREDITS: STOCKCAM / GETTY IMAGES
Google and Reddit announced the update on Wednesday, explaining that by incorporating Gemini on Vertex AI, it will help improve search relevance and provide quick answers for users.

Reddit Answers has been in [beta since December 2024](#) and allows users to ask questions and receive curated summaries of relevant comments and existing posts.

The feature is designed to keep users on the platform rather than search for threads on Google. By integrating Gemini, Reddit may better compete with OpenAI and other generative AI companies that [utilize its data](#) to train their chatbots.

Users have had mixed opinions about the feature, with some likening it to a [“knock-off version of Grok](#)

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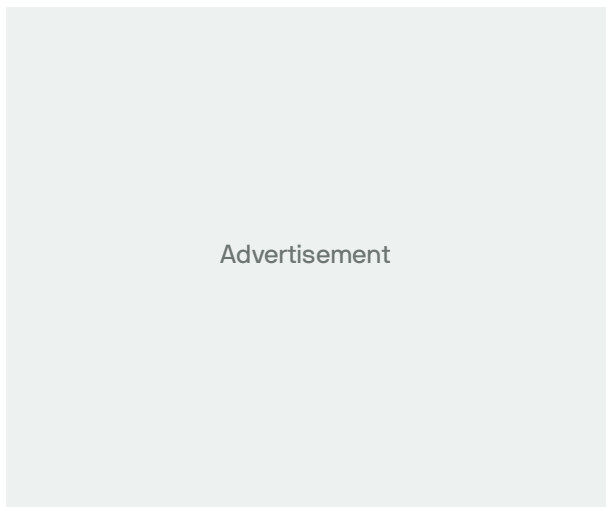
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[AI](#),” X’s tool that has been known to [generate misinformation](#) in the past. Others believe it’s useful for providing a concise overview of generalized advice and insights from fellow users. For example, “how to clean rusty cast iron.”

Reddit Answers is currently available in English on the web and iOS devices in the U.S.

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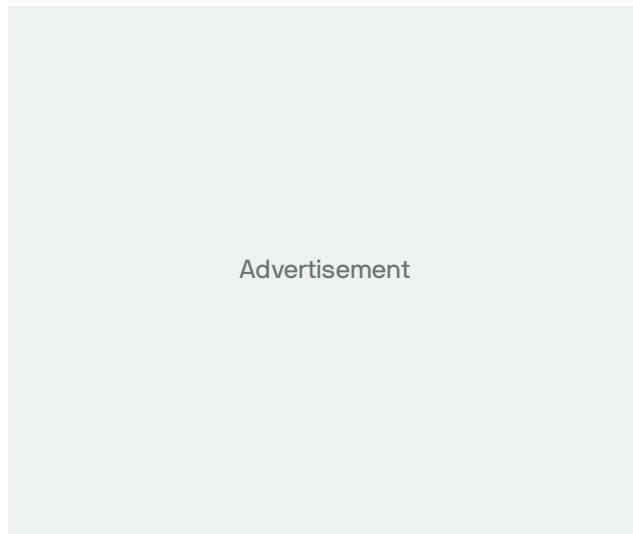
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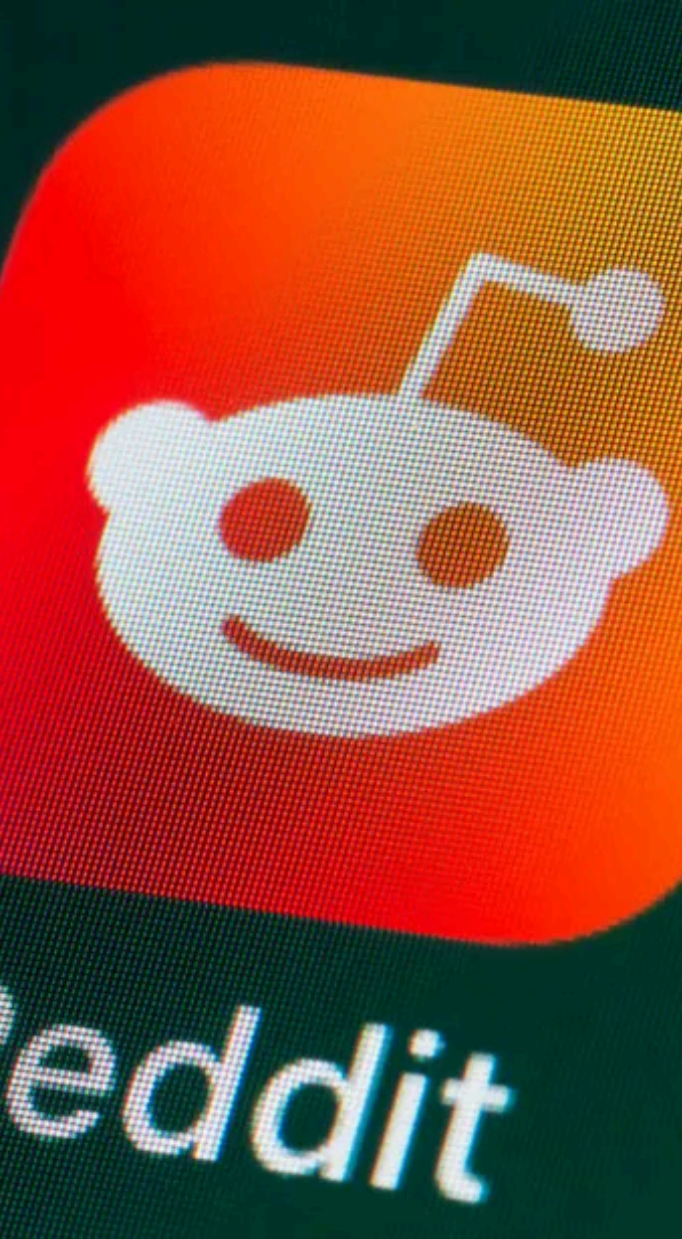
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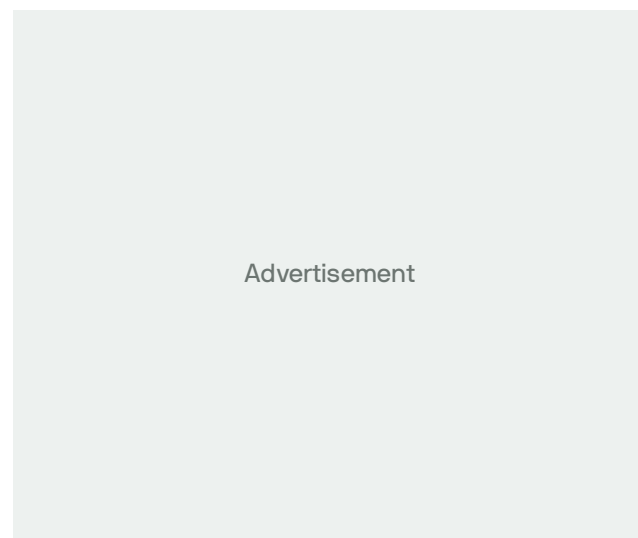


Reddit tests a conversational AI search tool

Aisha Malik — 6:00 AM PST · December 9, 2024

As more AI companies gobble up Reddit's data to fuel their own chatbots, the popular online forum site has begun testing a new conversational AI feature of its own. The feature, called Reddit Answers, allows visitors to ask questions and receive curated summaries of relevant responses and threads across the platform, the company announced on Monday.

The feature allows Reddit to better compete against AI providers like OpenAI's ChatGPT and Perplexity, which have become popular destinations for users looking to get quick and concise answers to questions. And it could help Reddit challenge Google more directly, where so many users add the keyword "reddit" to their search queries that Google ended up integrating that functionality into its search engine.



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Reddit Answers introduces a conversational experience on its platform designed to help people find exactly what they're looking for directly on Reddit without having to peruse through different individual threads and communities.

Once you ask a question through Reddit Answers, you will receive concise and conversational answers that pull information from communities and posts that are related to your inquiry. You can read relevant snippets and answers inline from real users on the platform, open up full conversations, and deepen your search using either your own or suggested follow-up questions.

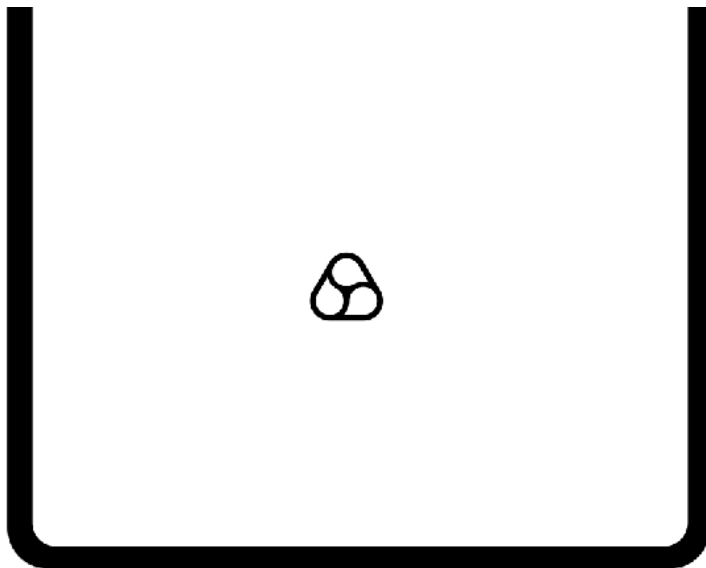


IMAGE CREDITS: REDDIT

For example, if you ask: “What are some tips for better sleep,” the feature will give you a curated summary of information provided by other Reddit users in a concise and bulleted format that’s similar to responses provided by AI tools like ChatGPT and Perplexity. If you scroll down, the tool will reference all of the different threads that it pulled information from to allow you to go in and explore those conversations on your own.

In a blog post, Reddit says the new feature gives users a new way to get “the information,

Ivan Mehta - 15 minutes ago

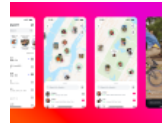
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recommendations, discussions, and hot takes” they are looking for from “real conversations and communities across all of Reddit.”

Since companies like [Google](#) and [OpenAI](#) already surface information from Reddit users’ posts in their AI features thanks to partnerships with the platform, it makes sense for Reddit to have an in-house conversational tool to help users find quick answers.

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“People know that Reddit has answers, advice, and perspectives on just about whatever they’re looking for, and AI-powered search is part of our longer-term vision to improve the search experience on Reddit – making it faster, smarter, and more relevant,” the company said in the blog post.

Reddit Answers is rolling out to a limited number of users in the U.S. and is currently only accessible in English. The company plans to bring the feature to more countries in the future and add support for additional languages.

Reddit told TechCrunch in an email that the feature is powered by Reddit-built tech, noting that the platform has its own AI models, but also integrates models from OpenAI and Google Cloud.

An AI conversational tool isn’t the only way Reddit is integrating AI on its platform. Reddit co-founder and CEO Steve Huffman [teased the launch of AI-powered search result pages](#) earlier this year. It’s also using [AI to power translation](#) and offer [AI-powered insights for brands](#).

Topics: [AI](#) [AI](#) [Apps](#) [artificial intelligence](#) [ChatGPT](#)

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Aisha Malik

Consumer News Reporter |

Aisha is a consumer news reporter at TechCrunch. Prior to joining the publication in 2021, she was a telecom reporte...

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AI



Reddit sues Anthropic for allegedly not paying for training data

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med in a Northern California court on Wednesday. Reddit claims in the complaint that Anthropic's unauthorized use of the site's data for commercial purposes was unlawful, and alleges the AI startup violated Reddit's user agreement.

Reddit's lawsuit makes it the first Big Tech company to legally challenge an AI model provider over its training data practices, joining a litany of

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publishers that have sued tech companies on similar grounds.

The New York Times has sued OpenAI and Microsoft for training on its news articles without payment or permission. Meanwhile, Sarah Silverman and other book authors have [sued Meta for training AI models](#) on their books without approval. Music publishers and artists have also brought similar claims against AI audio, video, and image generation startups, alleging misuse of their content.

“We will not tolerate profit-seeking entities like Anthropic commercially exploiting Reddit content for billions of dollars without any return for redditors or respect for their privacy,” said Ben Lee, Reddit’s chief legal officer, in a statement to TechCrunch.

Notably, Reddit has inked deals with other AI model providers, including [OpenAI](#) and [Google](#), that allow these companies to train AI models on Reddit’s data and have the site’s posts appear in their respective AI chatbots’ answers. However, in the filing, Reddit says it subjects OpenAI and Google to certain terms that protect its users’ interests and privacy.

Sam Altman, the CEO of OpenAI, has an [8.7% stake in Reddit](#), making him the third-largest shareholder, and was once a member of the company’s board of directors.

In the filing, Reddit claims that it approached Anthropic and made it clear that the AI startup did not have authorization to scrape or use Reddit’s content. However, Reddit alleges that Anthropic “refused to engage.”

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“We disagree with Reddit’s claims and will defend ourselves vigorously,” said Anthropic spokesperson Danielle Ghighlieri in an emailed statement to TechCrunch.

Reddit claims in its complaint that Anthropic’s scraper bots ignored the social network’s robots.txt files, a standard that signals to automated systems not to crawl websites. The online community platform alleges that, after Anthropic claimed to block its bots from scraping Reddit in 2024, Anthropic’s bots continued to scrape the platform more than 100,000 times.

Reddit is asking Anthropic to pay compensatory damages, as well as restitution for the amount by which Anthropic has been enriched by scraping

Reddit's content. Reddit also requests an injunction prohibiting Anthropic from continuing to use Reddit's content.

Topics: [AI](#) [Anthropic](#) [Reddit](#) [Social](#)



Maxwell Zeff

Senior AI Reporter |

Maxwell Zeff is a senior reporter at TechCrunch specializing in AI. Previously with Gizmodo, Bloomberg,...

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Reddit will begin charging for access to its API

Following on the heels of Twitter's decision to [restrict](#) third-party access to its data, Reddit today [announced](#) that it'll begin charging for use of its API.

It's not a blanket policy change. As reported by The New York Times, Reddit's API will remain free to developers who want to build apps and bots that help people use Reddit, as well as to researchers who wish to study Reddit for strictly academic or noncommercial purposes.

But companies that "crawl" Reddit for data and "don't return any of that value" to users will have to pay up," Reddit co-founder and CEO Steve Huffman told The Times.

"It's a good time for us to tighten things up," Huffman said. "We think that's fair."

The move comes as Reddit looks for ways to monetize its vast array of user-generated content, which as The Times notes has been increasingly used to train high-profile, text-generating machine learning models such as OpenAI's ChatGPT and GPT-4. As of 2019, Reddit had [over](#) 430 million monthly active users across more than 1.2 million special interest communities, 138,000 are [active](#).

Huffman told The Times that he believes Reddit data is particularly valuable because it's continuously updated.

"The Reddit corpus of data is really valuable," he reiterated. "More than any other place on the internet, Reddit is a home for authentic

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conversation. There's a lot of stuff on the site that you'd only ever say in therapy, or AA, or never at all ... But we don't need to give all of that value to some of the largest companies in the world for free."

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Shareholders could be the motivator. Reddit hasn't announced the details of its API pricing yet. But the company is preparing for a potential initial public offering sometime later this year, and investors will

be looking for growth in — or entirely new streams of — revenue.

Reddit, which was valued at around \$10 billion in August 2021, is [estimated](#) to have made \$350 million from ads two years ago. That total pales in comparison to Meta’s and even Twitter’s ad revenues. Meta [made](#) \$113 billion in 2022, while Twitter, despite its [many controversies](#), [raked in](#) nearly \$7 billion.

In news related to the API policy change, Reddit today said that it hopes to incorporate more AI into how the site operates, such as identifying the use of AI-generated text on Reddit and adding a label that notifies users that a comment might’ve come from a bot. Reddit also aims to improve its moderation tools and the third-party bots that help moderators monitor the forums.

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Kyle Wiggers was TechCrunch’s AI Editor until June 2025. His writing has appeared in VentureBeat and Digital...

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